HANGS Construction · October 2026 Month-End Close

HANGS Construction Services LLC · Period ended October 31, 2026 · Prepared November 6, 2026 (business day 5). DRAFT memo from the Accounting Machine. Unsigned. Invented demonstration data. A person reviews and decides every entry; the machine never posts one.

The adjusted trial balance balances at **$11,516,538.16**. 4 recurring entries are staged for $70,484.49 and 4 adjusting entries are proposed for $17,968.83; together they reduce income by $33,843.22. 4 exceptions need a person, one recurring line is held, and 2 checklist items stay open. Nothing has been posted.

Accounts the Close Entries Change

Debits positive, credits negative.

Account	Preliminary	Recurring	Adjusting	Adjusted
1300 Prepaid Insurance	$64,800.00	-$8,640.00	$3,240.00	$59,400.00
1310 Prepaid Rent	$28,800.00	-$9,600.00		$19,200.00
1400 Construction in Progress	$6,842,315.40	$35,670.10	$12,460.00	$6,890,445.50
1590 Accumulated Depreciation	-$101,420.00	-$3,716.67	-$815.48	-$105,952.15
2100 Accrued Liabilities	-$4,800.00		-$12,460.00	-$17,260.00
2110 Accrued Interest	$0.00		-$1,453.35	-$1,453.35
2120 Accrued Payroll	$0.00	-$48,527.82		-$48,527.82
6000 Salaries & Wages	$104,316.88	$12,857.72		$117,174.60
6750 Insurance Expense	$29,160.00	$8,640.00	-$3,240.00	$34,560.00
6850 Rent Expense	$28,800.00	$9,600.00		$38,400.00
6960 Depreciation Expense	$10,080.00	$3,716.67	$815.48	$14,612.15
6970 Interest Expense	$4,313.17		$1,453.35	$5,766.52
Total debits, all accounts	**$11,449,564.84**	**$70,484.49**	**$17,968.83**	**$11,516,538.16**

Proposed Entries

Entry	Account	Debit	Credit	Support
RJ-01	6750 Insurance Expense	$8,640.00		Prepaid Schedule, Insurance
	1300 Prepaid Insurance		$8,640.00	
RJ-02	6850 Rent Expense	$9,600.00		Prepaid Schedule, Rent
	1310 Prepaid Rent		$9,600.00	
RJ-03	6960 Depreciation Expense	$3,716.67		Fixed Asset Register
	1590 Accumulated Depreciation		$3,716.67	
RJ-05	1400 Construction in Progress	$35,670.10		Payroll Register
	6000 Salaries & Wages	$12,857.72		
	2120 Accrued Payroll		$48,527.82	
AJ-01	1300 Prepaid Insurance	$3,240.00		Prepaid Schedule, Insurance; GL detail 1300
	6750 Insurance Expense		$3,240.00	
AJ-02	6960 Depreciation Expense	$815.48		GL detail 1500; Close Procedures CLOSE-4
	1590 Accumulated Depreciation		$815.48	

AJ-03	6970 Interest Expense	$1,453.35		Ridgeway Loan Schedule; Close Procedures CLOSE-6
	2110 Accrued Interest		$1,453.35	
AJ-04	1400 Construction in Progress	$12,460.00		Invoice FSS-0171; bills received after month-end
	2100 Accrued Liabilities		$12,460.00	

Book Before Close

October Work Billed in November · FSS-0171 · $12,460.00

> *CLOSE-1 Cutoff and Accruals (Close Procedures page 2): "Record a cost in the month the goods or services were received. Every bill received through business day 4 is checked for its service period; a cost incurred by month-end and not in the ledger is accrued to 2100 Accrued Liabilities and reversed on the first day of the next month."*

Invoice FSS-0171 is dated November 3 and was received November 4, after month-end. Its service period is October 5 to October 30: all October. It is not among the 28 bills booked in October. AJ-04 accrues $12,460.00 to 1400 Construction in Progress, job 27-05, cost code 02-200, against 2100 Accrued Liabilities, and reverses November 1 when the bill is entered.

Proposed entry AJ-04, not posted: Accrue FSS-0171, Fernhollow Site Services, erosion control and street sweeping in October; reverse November 1. Reverses: Yes, November 1.

Needs a Person

Insurance Amortized Twice · JE-2609-044 · $3,240.00

> *CLOSE-3 Prepaid Assets (Close Procedures page 3): "Amortize each prepaid straight-line over the period it covers. After the month's amortization, the general ledger balance must equal the prepaid schedule; a difference is investigated and corrected, not carried."*

After RJ-01, GL 1300 would be $56,160.00; the prepaid schedule ends October at $59,400.00. In September, GL 1300 took $11,880.00 of amortization: the recurring RJ-01 for $8,640.00 and manual entry JE-2609-044 for $3,240.00, which is one month of policy GL-2026 already inside RJ-01. Confirm the manual entry is the duplicate, then reverse it: AJ-01 puts $3,240.00 back in 1300 Prepaid Insurance.

Proposed entry AJ-01, not posted: Reverse the duplicate September amortization of policy GL-2026 (JE-2609-044). Reverses: No.

Excavator Missing From Register · AP-10405 · $815.48

> *CLOSE-4 Fixed Assets and Depreciation (Close Procedures page 3): "Add every capitalized asset to the fixed asset register in the month it is placed in service. Depreciate straight-line from that month, a full month in the month placed in service, with no salvage value. Register cost must equal the general ledger by account. Lives: equipment 84 months, site office units 120 months, vehicles 60 months."*

GL 1500 carries $141,100.00; the register lists $72,600.00. The difference, $68,500.00, is AP-10405 from Kestrel Ridge Equipment on October 6. Placed in service in October, it takes a full month of depreciation under CLOSE-4: $68,500.00 over 84 months is $815.48. AJ-02 books October's depreciation; add the asset to the register so November's RJ-03 includes it. This uses the cost booked in GL 1500; if the AP review's proposed full-cost entry for KRE-2207 is posted, recompute.

Proposed entry AJ-02, not posted: October depreciation on the compact excavator (AP-10405), not on the register. Reverses: No. Follow-up: Add compact excavator (AP-10405) to the fixed asset register (Staff accountant). Status: Open.

Held, Entry Proposed

Recurring Interest Held · RJ-04 · $1,453.35

> *CLOSE-2 Recurring Entries (Close Procedures page 2): "Stage a recurring entry only when it is active and its support agrees with the schedule amount to the cent. A line without agreeing support is held, with its*

reason, and never forced to the schedule."

CLOSE-6 Interest (Close Procedures page 4): "Accrue interest on borrowed money for the actual days in the month on the principal outstanding, at the note's rate, on the note's day-count basis."

$248,000.00 at 6.90% for October's 31 days, actual/365, is $1,453.35, and the Ridgeway loan schedule agrees. The recurring schedule still carries September's 30-day amount, $1,406.47, $46.88 short. Under CLOSE-2 the line is held, not forced to the schedule; AJ-03 proposes the supported amount instead. Change RJ-04 to compute from the days in each month.

Proposed entry AJ-03, not posted: Equipment loan interest, October, 31 days at 6.90% (replaces held RJ-04). Reverses: No. Follow-up: Change RJ-04 to compute interest on the days in each month (Staff accountant). Status: Open.

Close Checklist

ID	Task	Before	After
C-01	Bank reconciliation, operating account x4417	Prepared	Prepared · Awaiting Review
C-02	AP cutoff and bills received after month-end	Not started	Prepared · 1 Accrual Proposed
C-03	Prepaid insurance and rent amortization	Not started	Prepared · Exception
C-04	Depreciation and the fixed asset register	Not started	Prepared · Exception
C-05	Payroll accrual for the last partial week	Not started	Prepared
C-06	Equipment loan interest accrual	Not started	Held · Entry Proposed
C-07	Stage the recurring entries	Not started	Prepared · 1 Held
C-08	Customer deposits roll-forward, GL 2400	In progress	In Progress · Outside This Run
C-09	Adjusted trial balance	Not started	Prepared · Draft
C-10	Controller review and sign-off	Not started	Open · Needs the Controller

Open Items and Sign-Off

Every entry above stays proposed until a person accepts it or changes it with a reason. Entries are posted only after the Controller reviews them, the adjusted trial balance and the checklist (CLOSE-7), by the person who posts journal entries. Nothing has been posted. This memo is not a sign-off.

Prepared by: Accounting Machine (draft, unsigned)

Reviewed and approved by: _____ Controller · Date: _____